

**IN THE CIRCUIT COURT OF THE TWELFTH JUDICIAL CIRCUIT
IN AND FOR MANATEE COUNTY, FLORIDA**

**COLONIAL MANOR HOMEOWNERS
ASSOCIATION, INC., a Florida
not-for-profit corporation,**

Plaintiff,

v.

Case No.:

**COLONIAL MANOR MHC
HOLDINGS, LLC., a foreign limited
liability company,**

Defendant.

COMPLAINT

COMES NOW, Plaintiff Colonial Manor Homeowners Association, Inc., a Florida not-for-profit corporation ("HOA" or "Plaintiff") by and through undersigned counsel and hereby files this Complaint against Defendant Colonial Manor MHC Holdings, LLC., a foreign limited liability company ("Park Owner" or "Defendant") pursuant to Chapter 723 of the Florida Statutes, and in support would state:

JURISDICTION AND FACTUAL BACKGROUND

1. This is an action to determine whether a mobile home park owner has unreasonably increased lot rental fees in contravention of Sections 723.033 and 723.037 Fla. Stat. (2022), and is brought pursuant to Rule 1.222 Fla. R. Civ. P. (2022). Class certification is not required.
2. This court has jurisdiction of this matter pursuant to Section 723.0381(1) Fla. Stat. (2022).
3. Colonial Mobile Manor ("Park") is an age restricted mobile home park for residents 55 and older located in Manatee County, Florida.

4. Plaintiff is a duly formed “homeowners association” as contemplated by Section 723.075 Fla. Stat. (2022) which represents the individual owners/tenants of mobile homes in relation to areas of common interest including mediation and commencement of litigation to challenge the reasonableness of lot rental fees. (More than half of Park residents have authorized that Plaintiff first mediate this dispute, and by separate authorization, also authorized Plaintiff to initiate legal action).

5. Defendant is a foreign corporation licensed to do business in Florida, is the entity which owns and operates the Park, and which is responsible for setting the lot rental fee for individual owners/tenants.

6. Defendant became the owner of the Park on or about June of 2015. Since that time, Defendant has raised lot rental fees every single year and has further given notice of an additional \$64.00 lot rental fee for the 2023 fiscal year. Individual owners/tenants have failed to see a commensurate increase in amenities, park improvements, repairs, or any other such benefits sufficient to justify the increased fees, and these increases are unreasonable as more fully described below.

7. Currently, the average lot rental fee for a resident of the Park is \$660.00 per month and beginning January 1, 2023, the average lot rental fee will rise to approximately \$725.00 per month. (See attached, “90 Days Notice [sic] of Lot Rental Amount Increase” attached hereto as Exhibit “A”).

8. As will be shown through the course of this action, this lot rental fee is in excess of the fair market value, and is unreasonable as defined by §723.033(3) Fla. Stat. (2022).

9. Individual owners/tenants within the park are elderly and generally live on a fixed income and they are being priced out of their community as a result of Defendant’s actions.

Further, upon information and belief, it has become increasingly difficult for the Park to attract new owners/tenants as a result.

10. All conditions precedent to the bringing of this action have occurred or been waived, including all statutory pre-requisites identified in Chapter 723.

11. Plaintiff has retained the law firm of Porges, Hamlin, Knowles & Hawk, P.A. to represent it in this action and has agreed to pay a reasonable fee for those services.

**COUNT I – UNREASONABLE LOT FEE INCREASE PURSUANT TO
SECTIONS 723.033 AND 723.037 FLA. STAT. (2022)**

12. Plaintiff reincorporates and re-alleges the allegations contained in Paragraphs 1 through 11 as if set forth fully herein.

13. As a matter of law, the court may find a mobile home lot rental amount, increase, or change to be unreasonable, and if so, the court may refuse to enforce the lot rental agreement, refuse to enforce the increase or change, enforce the remainder of the lot rental agreement without the unreasonable provisions, award a refund or a reduction in future rent payments, and award any other such equitable relief as may be deemed necessary. §723.033(1) Fla. Stat. (2022).

14. As part of the statutory pre-litigation process, the parties were required to attend informal meetings which were designed to give the Park Owner a chance to explain its reasons for the lot rental increase, and which then allowed the HOA to explain its objections to those increases. Section 723.037 requires the Defendant to disclose and explain *all* material factors resulting in the decision to increase the rental amount at those meetings, including how those factors justify the specific change proposed.

15. That being said, statements made at pre-suit meetings and mediation are not admissible by virtue of Section 723.037. However, Plaintiff can state that it has relied upon

Defendant's other comments made outside of those meetings/mediation which have indicated that the only basis for the Park's fee increases has been due and owing to comparable market analysis.

16. However, there are no parks in the area which are truly comparable to Colonial Mobile Manor, as all otherwise similar communities offer greater amenities. (For example, the Park does not have a swimming pool, and other communities provide shuffleboard courts, recreational parks, gyms, and other such activity areas). Other similar communities also provide additional services which are not included in the Park's base rent including water, sewer, and lawn maintenance. As Defendant does not include any of those services in base rent, Plaintiff's constituents must cover those costs in addition to the unreasonable fees already being charged.

17. At no time has Defendant suggested that there have been any increased operating expenses, or other needs of the park, which would otherwise justify the rental fee increases. In fact, the condition of the park during Defendant's ownership has largely deteriorated (or at best, simply been maintained) despite the continued increases. As Defendant's only justification for the fee increases is apparently based upon comparable park analysis, even Defendant seems to acknowledge that there are no other factors warranting such rent increases.

18. As there are no truly "comparable" parks in the area, any similarly situated parks used to determine market value would have to be adjusted to compensate for the disparity in amenities and services. Upon information and belief, the current rents are already approximately 15% over fair market value, and beginning January 1, 2023, that disparity increases to approximately 26%. (These are estimates and may be revised as additional evidence becomes available).

19. Pursuant to Section 723.033(3), "a lot rental amount that is in excess of market rent shall be considered unreasonable." Accordingly, (and assuming Plaintiff's calculations to be

correct) the lot rent already charged by Defendant is unreasonable as defined by the statute, and Defendant has already expressed its intent to further inflate the fees charged.

20. Section 723.004(1) states:

“The Legislature finds that there are factors unique to the relationship between a mobile home owner and a mobile home park owner. Once occupancy has commenced, unique factors can affect the bargaining position of the parties and can affect the operation of market forces. Because of those unique factors, there exist inherently real and substantial differences in the relationship which distinguish it from other landlord-tenant relationships. The Legislature recognizes that mobile home owners have basic property and other rights which must be protected. The Legislature further recognizes that the mobile home park owner has a legitimate business interest in the operation of the mobile home park as part of the housing market and has basic property and other rights which must be protected. This chapter is created for the purpose of regulating the factors unique to the relationship between mobile home owners and mobile home park owners in the circumstances described herein. It recognizes that when such inequalities exist between mobile home owners and mobile home park owners as a result of such unique factors, regulation to protect those parties to the extent that they are affected by the inequalities, while preserving and protecting the rights of both parties, is required.”

21. Here, we have a Park comprised of individual owners/tenants which belong to a vulnerable section of society; seniors living on a fixed income. Defendant appears to be taking advantage of these vulnerable citizens by virtue of a superior bargaining position in such a manner as to directly contravene the entire legislative intent of Chapter 723, and more specifically Sections 723.033 and 723.037, by charging unreasonable lot rental fees. While Defendant has certain real property interests that are acknowledged above, the disparity here is particularly one-sided and the individual owners/tenants are being harmed. As stated above, the court has many statutory mechanisms for remedying this situation and protecting the rights and property interest of Plaintiff's constituents, and many of those mechanisms should be employed in this case to remedy

the immediate problem of unreasonable rent, and to ensure that Defendant does not continue such unreasonable practices in the future.

22. Plaintiff has retained undersigned counsel to represent it in this matter and has agreed to pay a reasonable sum for those services. Pursuant to Chapter 723 of the Florida Statutes, a prevailing party is entitled to recover a reasonable attorney fee from the non-prevailing party.

WHEREFORE, Plaintiff Colonial Manor Homeowners Association, Inc., hereby prays this court enter a judgment against Defendant Colonial Manor MHC Holdings, LLC., finding the lot rental fees to be unreasonable, refuse to enforce the current rental fee structure and reduce current rent to a reasonable amount, enjoin Defendant from levying the proposed 2023 lot rent increase, award the individual owners/tenants a refund of any rental fees found to be unreasonable, awarding Plaintiff attorney's fees and court costs associated with the bringing of this action, and further awarding any other such relief as may be deemed equitable and just under the circumstances.

Dated: Oct. 20, 2022

PORGES, HAMLIN, KNOWLES & HAWK, P.A.

By: _____


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September 28, 2022

90-DAY NOTICE OF LOT RENTAL AMOUNT INCREASE

Pursuant to Section 723.037(1), Florida Statutes, this serves as a 90-day notice of increase in lot rental amount for all Colonial Manor MHC home owners. The increase in your monthly base lot rental amount will be effective January 1, 2023. On that date, the base rent for all of the lots in the Park will be increased as follows:

	Current Base Monthly Lot Rental amount	Amount of Increase	New Base Monthly Lot Rental Amount
Base Rent:	\$654.50/month	\$64.00	\$718.50
	\$657.50/month	\$64.00	\$721.50
	\$659.50/month	\$64.00	\$723.50
	\$663.00/month	\$64.00	\$727.00
	\$663.50/month	\$64.00	\$727.50
	\$669.50/month	\$65.00	\$734.00

The disclosed increase in monthly base lot rental amount is effective and will be due and payable beginning January 1, 2023.

This notice affects and is being sent to all Colonial Manor MHC home owners whose current base rent is as stated above, and to each member of the board of directors of the homeowners' association.

If you wish to determine the names and addresses of the individuals who will be receiving notices of lot rental amount increase in addition to you, the Park office shall make the names and addresses available upon request.

Sincerely,

Cheryl Peake – Colonial Manor MHC

EXHIBIT A